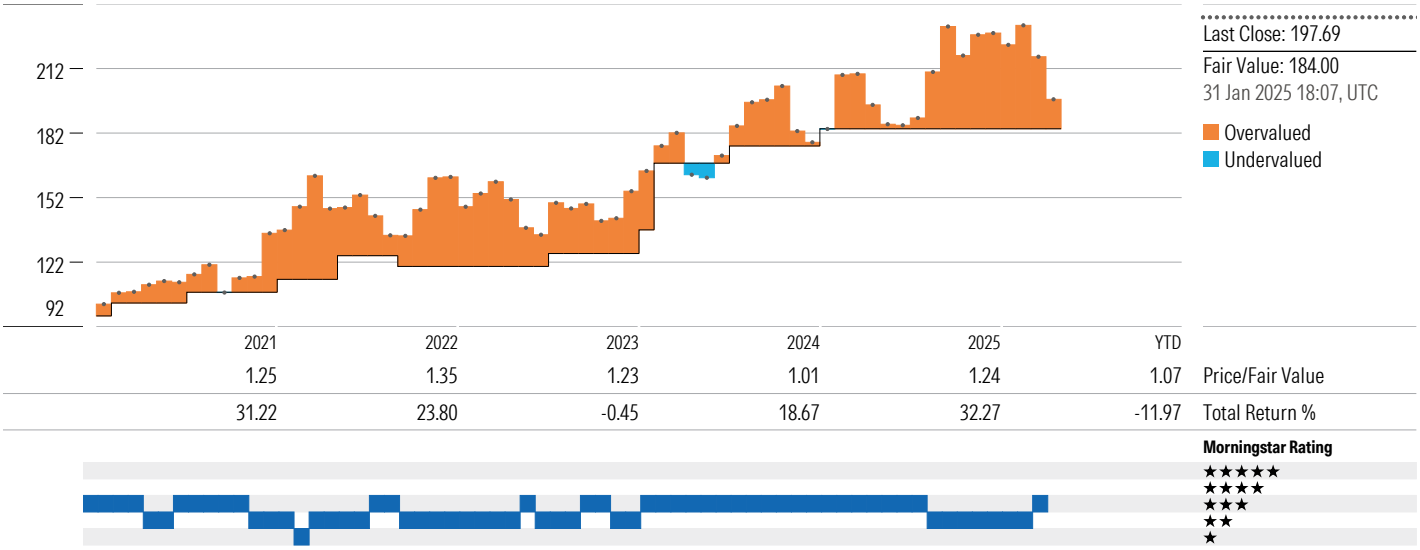
AbbVie Inc ABBV ★★★ 28 Apr 2026 23:47, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation	ESG Risk Rating Assessment[1]
197.69 USD 28 Apr 2026	184.00 USD 1 Feb 2025 00:07, UTC	1.07	362.51 USD Bil 29 Apr 2026	Wide	Large Value	High	Standard	28 Apr 2026 05:00, UTC

Price vs. Fair Value



	2021	2022	2023	2024	2025	YTD	
	1.25	1.35	1.23	1.01	1.24	1.07	Price/Fair Value
	31.22	23.80	-0.45	18.67	32.27	-11.97	Total Return %

Total Return % as of 28 Apr 2026. Last Close as of 28 Apr 2026. Fair Value as of 31 Jan 2025 18:07, UTC.

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The primary analyst covering this company does not own its stock.

[1]The ESG Risk Rating Assessment is a representation of Sustainalytics' ESG Risk Rating.

AbbVie Earnings: Shares Remain Fairly Valued; Immunology Portfolio and Pipeline Look Solid

Analyst Note Karen Andersen, CFA, Director, 29 Apr 2026

AbbVie reported 12% revenue and 8% adjusted earnings per share growth in the first quarter. Management raised full-year guidance to $67.3 billion in revenue (10% growth) and adjusted EPS of $14.08-$14.28 (40%-42% growth from an acquisition-laden 2025). Shares rose more than 3% intraday on April 29.

Why it matters: Given the competitive immunology drug landscape, investors have been nervous about whether AbbVie's dominant products would be able to maintain strong double-digit growth. First-quarter results and management's guidance raise are both reassuring.

- Skyrizi (31% growth) and Rinvoq (23% growth) are each showing strength across multiple immunology indications, with head-to-head and long-term outcome data further cementing physician comfort with prescribing these therapies.
- Johnson & Johnson's IL-23 antibody Tremfya is also growing impressively and stands as a similar option to Skyrizi, although it appears that both products are stealing share from other classes as well as expanding the market for patients treated with biologics.

The bottom line: We're maintaining our $184 fair value estimate for wide-moat AbbVie. We think shares look fairly valued at recent prices.

- Our fair value estimate would rise significantly if we could gain confidence in AbbVie's ability to grow

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Sector
Healthcare

Industry
Drug Manufacturers - General

Business Description

AbbVie is a pharmaceutical firm with a strong exposure to immunology (with Humira, Skyrizi, and Rinvoq) and oncology (with Imbruvica and Venclexta). The company was spun off from Abbott in early 2013. The 2020 acquisition of Allergan added several new products and drugs in aesthetics, including Botox. The 2024 acquisitions of Cerevel (neuroscience) and ImmunoGen (oncology) help supplement AbbVie's portfolio.

in the final years of our 10-year explicit forecast, as Skyrizi is likely to represent one-third of AbbVie's revenue in 2026 and is poised to lose patent protection in the US in 2033.

- Aside from patent extension, we're closely watching for potential combination regimens that could lengthen AbbVie's cash flows in Skyrizi's main indications, such as the ABBV-382 and Skyrizi combination that management announced has generated promising early data in Crohn's disease.

Business Strategy & Outlook Karen Andersen, CFA, Director, 19 Sep 2025

AbbVie holds a strong portfolio of marketed and pipeline drugs. While biosimilar competition to key drug Humira pushed down overall revenue in 2023, AbbVie returned to growth in 2024 as the remaining portfolio has been able to mitigate these losses.

With approvals in rheumatoid arthritis, psoriasis, and Crohn's disease, Humira holds a wide range of indications, but biosimilar versions of the drug led to price erosion beginning in 2023 and significant market share losses in 2024, and we expect double-digit declines over our forecast.

Offsetting Humira's expected declines, AbbVie looks well positioned with next-generation immunology drugs. In particular, recently launched drugs Skyrizi and Rinvoq have shown improved efficacy over Humira and other currently leading treatment options, which should support combined annual sales of these two newer drugs of $40 billion by 2029, well ahead of Humira's $21 billion peak in 2022. We expect a long runway for these drugs, given their leading efficacy across several indications.

Beyond immunology, AbbVie's oncology, neuroscience, and aesthetics businesses are the biggest contributors to revenue. In oncology, Imbruvica's strong clinical data in several forms of blood cancer led to peak sales above $5 billion, and while increasing competition has led to recent sales declines, AbbVie's new products like Elahere (ovarian cancer) and Epkinly (blood cancers) are positioned for peak sales well above $1 billion each. Additionally, the acquisition of Allergan brought several new products, including Botox for both cosmetic and therapeutic uses (such as migraine). Botox's strong entrenchment bodes well for the treatment as new competition is emerging. Beyond Botox, AbbVie is seeing growth from newer migraine therapies Qulipta and Ubrelvy and is working to expand its neuroscience offerings beyond antipsychotic drug Vraylar into neurodegenerative diseases like Parkinson's (Vyalev and tavapadon).

Looking forward, AbbVie's pipeline is weighted more toward new cancer and immunology drugs. The company should be able to leverage its solid entrenchment with Skyrizi and Rinvoq to launch new treatments and combination regimens.

Bulls Say Karen Andersen, CFA, Director, 19 Sep 2025

- AbbVie's dividend yield should act as valuation support, as the cash flows to support the dividend look secure over the next several years.

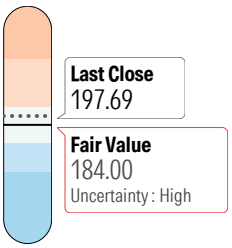
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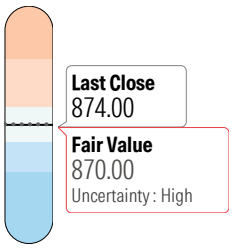
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Competitors

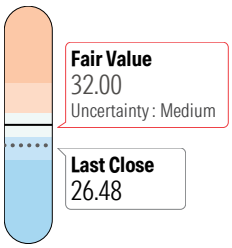
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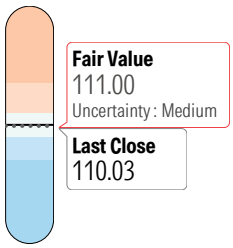
Eli Lilly and Co LLY



Pfizer Inc PFE



Merck & Co Inc MRK



	AbbVie Inc ABBV	Eli Lilly and Co LLY	Pfizer Inc PFE	Merck & Co Inc MRK
Economic Moat	Wide	Wide	Narrow	Wide
Currency	USD	USD	USD	USD
Fair Value	184.00 31 Jan 2025 18:07, UTC	870.00 4 Feb 2026 21:14, UTC	32.00 3 Feb 2026 20:05, UTC	111.00 4 Feb 2025 19:32, UTC
1-Star Price	285.20	1,348.50	43.20	149.85
5-Star Price	110.40	522.00	22.40	77.70
Assessment	Fairly Valued 28 Apr 2026	Fairly Valued 28 Apr 2026	Undervalued 28 Apr 2026	Fairly Valued 28 Apr 2026
Morningstar Rating	★★★28 Apr 2026 23:47, UTC	★★★28 Apr 2026 23:38, UTC	★★★★28 Apr 2026 23:34, UTC	★★★29 Apr 2026 00:13, UTC
Analyst	Karen Andersen, Director	Karen Andersen, Director	Karen Andersen, Director	Karen Andersen, Director
Capital Allocation	Standard	Exemplary	Standard	Standard
Price/Fair Value	1.07	1.00	0.83	0.99
Price/Sales	5.73	12.06	2.42	4.24
Price/Book	—	29.47	1.74	5.18
Price/Earning	47.00	33.64	10.19	14.53
Dividend Yield	3.41%	0.71%	6.50%	3.02%
Market Cap	349.67 Bil	780.79 Bil	150.63 Bil	271.76 Bil
52-Week Range	176.57—244.81	623.78—1,133.95	21.97—28.75	73.31—125.14
Investment Style	Large Value	Large Growth	Large Value	Large Value

- AbbVie's strong entrenchment in the aesthetics business (gained through the Allergan acquisition) sets up very long product cycles for several key assets like Botox based on strong brand power and physician entrenchment.
- AbbVie's next-generation immunology drugs targeting the IL-23 (Skyrizi) and JAK (Rinvoq) pathways are mitigating biosimilar headwinds to older blockbuster Humira.

Bears Say Karen Andersen, CFA, Director, 19 Sep 2025

- AbbVie has had to depend on acquisitions to boost its late-stage pipeline, suggesting less successful internal research and development activities.
- AbbVie's Cerevel acquisition saw a setback with the failure of two phase 2 studies for key schizophrenia drug candidate emraclidine.
- AbbVie's aesthetics business makes the firm more vulnerable to swings in the economy than other biopharma firms, putting pressure on growth when consumer sentiment is low.

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Economic Moat Karen Andersen, CFA, Director, 19 Sep 2025

We are maintaining AbbVie's wide moat rating as the company has successfully navigated the patent loss on Humira, which represented close to 50% of the firm's profits before biosimilars launched. AbbVie has diversified its product portfolio to include well-positioned next-generation immunology drugs Skyrizi and Rinvoq. Following the Allergan acquisition, AbbVie also holds a moaty aesthetics business (11% of 2024 sales) that should maintain strong pricing power based on branding power and complex manufacturing for skin treatment Botox and other products. Now that AbbVie's single-product concentration risk from Humira is in the past, strong traction with the current product portfolio helps support a wide moat for the firm. Also, an increasingly well-positioned pipeline increases our conviction in the durability of excess returns over the long term.

AbbVie derives enormous cash flows from its current product portfolio to fund ongoing discovery and development of the next generation of drugs. The company was able to quickly return to growth despite massive headwinds from biosimilar competition to key drug Humira, thanks to stellar launches for its next-generation immunology drugs Skyrizi and Rinvoq. With US patents poised to hold until 2033 for Skyrizi and 2037 for Rinvoq, we think AbbVie has time to invest profits in novel immunology pipeline candidates as well as new therapies in other areas with strong pricing power and potential for innovation, like oncology and neuroscience. We think AbbVie has relatively minimal exposure to upcoming patent losses, now that Humira's patent expiration has passed, with Vraylar (6% of 2024 sales, 2029 US patent) standing out as the biggest exposure.

We think the company does face environmental, social, and governance risks, particularly related to potential US drug price-related policy changes to increase access by lowering drug prices (75% of sales are generated in the US). That said, AbbVie's high exposure to immunology and aesthetics makes it less exposed to potential Medicare price changes. Ongoing product governance issues, including litigation related to side effects and patents, also weigh on the firm. While we have factored these threats into our analysis, we don't see them as material to our moat rating.

Fair Value and Profit Drivers Karen Andersen, CFA, Director, 19 Sep 2025

Our fair value estimate stands at $184 per share.

We think next-generation immunology drugs Skyrizi and Rinvoq look increasingly well positioned for growth, based on leading efficacy and strong launch trajectories.

While major annual Humira declines began in 2023 in the US, key valuation drivers to offset Humira sales declines are the company's next-generation immunology drugs targeting the IL-23 (Skyrizi) and JAK (Rinvoq) pathways. These new pathways seem to offer better efficacy and an improved side effect profile over Humira. We expect combined sales of these two drugs to reach $40 billion by 2029.

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Beyond a challenging 2025, we think aesthetic and therapeutic drug Botox should post steady mid-single-digit gains based on the entrenchment of the drug and the complexity in creating a generic version. The company has several other newly approved and late-stage neuroscience and cancer drugs that should further help mitigate Humira sales declines.

Although the Allergan acquisition carried a significant premium to the stock price, we viewed the target as undervalued. We believe management was opportunistically taking advantage of Allergan's low price combined with the need to reduce AbbVie's dependence on Humira. Allergan's cash flows should also help mitigate the Humira pressures.

Overall, we forecast five-year average growth rates of 6% on the top line and 9% on the bottom line through 2029. We expect non-GAAP operating margins in the 40s as new immunology drugs carry strong enough margins to offset the lost sales on high-margin Humira. For the weighted average cost of capital, we use a 7.5% cost of equity and market rates for the cost of debt.

Risk and Uncertainty Karen Andersen, CFA, Director, 19 Sep 2025

Similar to other drug firms, AbbVie faces the risks of new drug failures, reimbursement challenges for new drugs, and drug pricing cuts by large payer groups that are growing increasingly price-sensitive. Further, AbbVie's high concentration of Humira sales makes the company exposed to any new competitive threats to that drug, both from biosimilars and new branded competition. Also, AbbVie took on significant debt to purchase Allergan. AbbVie holds a high proportion of drugs with pricing that looks less cost-effective, opening it up to increased exposure if payers implement cost-saving measures.

Our High Morningstar Uncertainty Rating for AbbVie is not materially affected by environmental, social, and governance risks beyond the potential pricing of drugs for cost-effectiveness. We see access to basic services (tied to drug pricing) as the biggest ESG risk that the firm needs to manage. AbbVie generates 75% of total sales in the US—a high amount relative to peers—so additional major pricing reforms could weigh on sales and margins.

We assume a more than 50% probability of AbbVie seeing future costs related to product governance ESG risks (such as off-label marketing or litigation related to side effects) and model base-case annual legal costs at 1.5% of non-GAAP net income, at the midrange relative to peers based on AbbVie's product portfolio having average exposure to future potential litigation.

Capital Allocation Karen Andersen, CFA, Director, 19 Sep 2025

AbbVie's Capital Allocation Rating is Standard, which reflects our belief that the company possesses a sound balance sheet, a reasonable record of investments, and largely fair shareholder distributions.

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We believe AbbVie's balance sheet is sound, with low risk regarding the size of its debt, the business cyclicality facing the firm, and the debt maturity outlook. While an argument could be made to increase the leverage of the balance sheet to be more active in investing, we believe the company, along with most large-cap biopharma firms, should hold ample balance sheet strength to support opportunistic acquisitions as dynamic scientific data emerges that might require relatively quick action. Also, a strong balance sheet helps biopharma firms through most product litigation challenges with minimal concern by the market.

We believe AbbVie is operating at a reasonable investment level. While the company only spends on research and development at the low- to mid-teens level as a percentage of sales (below the industry average in the high teens), it has shown reasonable productivity in pipeline development. The productivity in creating the next generation of drugs has yielded enough new drugs to help mitigate the major generic competition weighing on Humira sales. The productivity in innovative new drugs (largely targeting areas of unmet medical need, especially in immunology) also helps fortify the firm's moat and expand the returns on invested capital. However, more investment would likely position the firm for stronger growth potential through the patent loss of Humira.

AbbVie has executed reasonably well on acquisitions and partnerships. The 2020 acquisition of Allergan for over $60 billion diversified cash flows and opportunistically added products from a firm trading below its fair value. Allergan also opens a new therapeutic segment in aesthetics that doesn't face the same potential pricing risks as the branded drug segment. Additionally, the 2015 acquisition of Pharmacyclics for over $20 billion looks sound, given that key drug Imbruvica has delivered peak annualized sales of $5 billion even with some royalties paid to Johnson & Johnson. On the negative side, the failed acquisition of Shire led to a $1.6 billion breakup fee, and the $6 billion acquisition of Stemcentrx looks like poor judgment on a key cancer drug that was less effective in late-stage clinical studies. The acquisitions of neuroscience firm Cerevel and oncology firm ImmunoGen in 2024 look reasonable and will be largely measured on the outcome of recently launched and pipeline drugs, although the failure of midstage studies for Cerevel's schizophrenia drug emraclidine is concerning.

We view AbbVie's dividends and share repurchases as about right. Since being divested from Abbott, AbbVie has largely focused on a dividend payout ratio close to 50%, which seems appropriate, given the maturity of the industry. The firm has done several rounds of share repurchases largely at levels that looked undervalued, which seems to be a good use of capital. However, we would argue for more R&D spending to set the firm up for strong growth potential through the Humira patent loss.

AbbVie is led by CEO Robert Michael. In July 2024, Michael succeeded longtime leader Rick Gonzalez, who joined Abbott in 1977 and held many managerial posts throughout his career. Gonzalez's relatively short tenure in the key field of drug commercialization and development before becoming CEO was a concern, but execution went well under his leadership.

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Analyst Notes Archive

AbbVie Earnings: Solid Immunology and Neuroscience Growth, but Aesthetics Headwinds Persist

Karen Andersen, CFA,Director,3 Nov 2025

AbbVie reported 9.1% revenue growth and a 30.9% adjusted operating margin (including deal-related in-process research and development expense) in the third quarter. Management slightly raised full-year guidance, which now stands at $60.9 billion in revenue and adjusted EPS of $10.61-$10.65. Why it matters: Shares fell more than 4% on Oct. 31 as investors digested results that were a mix of strong performance in immunology and neuroscience, but weakness in oncology and aesthetics. Skyrizi's 47% growth and Rinvoq's 35% growth reflect uptake in gastrointestinal indications, with high unmet need allowing for continued growth despite competition from J&J (half of new ulcerative colitis patients in the US starting on an IL23 drug take J&J's Tremfya). Macroeconomic headwinds are weighing on the aesthetics business, and although AbbVie has maintained filler share and improved toxin share, market declines, particularly fillers, have been persistent. The bottom line: We're maintaining our $184 fair value estimate for wide-moat AbbVie. We still see shares as roughly 20% overvalued, as we think investors assign too much of a premium to AbbVie's limited patent exposure, given pipeline uncertainty and competitive threats. AbbVie's long US patent protection for key products (2033 for Skyrizi and 2037 for Rinvoq) gives it the luxury of time to invest in earlier-stage technologies via smaller collaborations, rather than larger deals. Early trials for programs like in vivo CAR-T in lupus and arthritis are starting in 2026. J&J's ability to gain share in ulcerative colitis and Crohn's disease with Tremfya, and the potential launch of the oral drug icotrokinra in 2026, could limit the long-term growth of Skyrizi and Rinvoq. Long view: Management is guiding high-single-digit top-line growth throughout the decade, but our 6.4% five-year sales CAGR builds in a dip in growth toward the end of the decade, around the time of neuroscience drug Vraylar's US patent expiration (2029).

AbbVie Earnings: Continued Impressive Demand for Skyrizi, Neuroscience Portfolio Support Growth

Karen Andersen, CFA,Director,31 Jul 2025

AbbVie reported second-quarter revenue of $15.4 billion (6.6% growth) and adjusted diluted earnings per share of $2.97 (12.1% growth). Management raised full-year revenue guidance to $60.5 billion from $59.7 billion and adjusted diluted EPS to $11.88-$12.08 from $11.67-$11.87.Why it matters: Second-quarter performance was ahead of our expectations in immunology, where stellar Skyrizi sales more than countered the erosion in Humira sales as biosimilar versions of the drug made headway in the market. Despite significant erosion in sales of former top drug Humira, AbbVie's top-line growth only dipped negative in 2023 and has continued to improve since, driven by market share gains for Skyrizi and Rinvoq across dermatology and inflammatory bowel disease indications.The bottom line: We're maintaining our $184 fair value estimate for wide-moat AbbVie. We see the shares as fairly valued at recent prices. We think AbbVie is capable of 8% top-line growth in 2025, slightly ahead of guidance,

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AbbVie Inc ABBV ★★★ 28 Apr 2026 23:47, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation	ESG Risk Rating Assessment[1]
197.69 USD 28 Apr 2026	184.00 USD 1 Feb 2025 00:07, UTC	1.07	362.51 USD Bil 29 Apr 2026	Wide	Large Value	High	Standard	28 Apr 2026 05:00, UTC

based on the continuing strong prospects for sales of immunology drugs Skyrizi and Rinvoq as well as double-digit growth for several neuroscience drugs, including new Parkinson's therapy Vyalev. We're assuming weaker-than-guided performance in aesthetics. Economic concerns are making patients less likely to pay for more expensive fillers, and trends toward a more natural appearance are also creating headwinds to growth.Long view: With patent protection on Skyrizi and Rinvoq running through 2033, AbbVie has time to build a pipeline to dull the impact of its next big patent cliff. We're watching for updates from several programs. The company's $2 billion pending acquisition of Capstan Therapeutics (including a novel CAR-T cell therapy in phase 1 for autoimmune diseases) and recent licensing deal for Gubra's amylin analog (in phase 1 for obesity) look intriguing and could make strong immunology and aesthetics additions by 2030.

Biopharma Industry: Latest Executive Order Threatens Broad Cut to US Drug Prices Karen Andersen, CFA,Director,12 May 2025

President Trump released an executive order on May 12 calling for a 30-day negotiation period between the Department of Health and Human Services and the biopharma industry, with the threat of a rule from the Centers for Medicare and Medicaid Services to lower US drug prices if no deal is reached. Why it matters: The president's goal of bringing US drug prices more in line with pricing in other developed countries is among the more feared potential policy changes in the biopharma industry, although we have generally seen sweeping changes as a low-probability scenario. While discounts in the US and other markets make it quite difficult to get a clear comparison of net prices in various markets, we've estimated that US prices are on average roughly double those in major international markets. We have estimated that bringing US prices in line with European prices across US channels (public and private) would result in a 24% hit to US drug revenue, and with most firms bringing in about half of their revenue from the US, a worst-case scenario would mean a low-double-digit top-line hit. The bottom line: We're maintaining our fair value estimates in this largely wide-moat industry. While a worst-case scenario would lower our fair value estimates, shares rose on Trump's announcement, as we think investors are encouraged by the vagueness of the order and the significant room for negotiations. We think a likely final focus for price cuts could be Medicare drug spending in hospitals, which represents 10% of the US drug market, limiting exposure relative to broader Medicare (30%) or all government programs (closer to 50%). Rulemaking is a hard way to make large changes stick. Historically, Congress has been the source of major policy changes in the industry. Efforts to include Medicaid price benchmarking in the emerging reconciliation bill appear to have failed, which likely limit Trump's scope for action.

AbbVie Earnings: Higher 2025 Guidance Projects Immunology Confidence Despite Potential Tariff Hit Karen Andersen, CFA,Director,25 Apr 2025

AbbVie reported 8.4% revenue growth and 6.5% adjusted diluted EPS growth in the first quarter.

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Management raised its 2025 adjusted diluted EPS guidance by 10 cents at the midpoint to a range of $12.09-$12.29, but this does not include the Gubra licensing agreement or potential pharma tariffs. Why it matters: Given the significant uncertainty surrounding potential regulatory timeline delays and pharmaceutical tariffs, AbbVie's strong first-quarter performance and guidance were reassuring. Skyrizi (71% growth) and Rinvoq (57%) were the strongest drivers of outperformance in the quarter, and management's combined $900 million guidance raise for these two products more than offset the $500 million lower Humira guidance due to intense biosimilar competition and lower pricing. While management did not quantify any potential tariff exposure for pharmaceuticals, it did signal that the effect would be in line with the industry impact and emphasized its US Skyrizi manufacturing and $10 billion planned investment in US manufacturing over the next 10 years. The bottom line: We're maintaining our $184 fair value estimate for AbbVie, and we think the firm's broad, growing portfolio and intriguing pipeline warrant a wide moat. However, we see shares as fairly valued at recent prices, and we're watching the early-stage pipeline for potential to raise our valuation. We're most interested in whether AbbVie can build on its Skyrizi and Rinvoq success in immunology with new combinations in the pipeline, such as programs targeting TL1A, alpha-4 beta-7, and IL-1 alpha/beta, and we expect some initial data in 2026. The recent Gubra licensing deal brings rights to phase 1 amylin drug ABBV-295, which has had impressive data in obesity over a six-week time horizon at a relatively low 2 mg weekly dose. We're carefully watching for potential 12-week data at higher doses from this study in 2026.

Biopharma Industry: Trump's Executive Order Could Help Innovation, but Range of Scenarios Still Open Karen Andersen, CFA,Director,16 Apr 2025

President Donald Trump issued an executive order on April 15 listing several potential policy changes aimed at lowering US drug prices. Why it matters: Biopharma has been holding its breath as it awaits Trump's plans for reducing drug costs, with a range of possible policy changes that could help or hinder innovation. As a worst-case scenario, international price benchmarks could significantly lower US drug pricing and reduce economic incentives for innovative drug development globally. On a more positive note, correcting the "pill penalty" that only gives small molecule drugs nine years of protection from Medicare negotiation (biologics get 13) could encourage innovation regardless of treatment modality. The bottom line: We're not making any changes to our valuations or uncertainty ratings as a result of Trump's recent executive order, which was light on details and could be construed as a positive or negative for the industry. Trump wants US Department of Health and Human Services Secretary Robert F. Kennedy Jr. to work with Congress to correct the pill penalty, although this relies on Congressional action and does not specify how long the protection period should be. Another goal is for RFK to begin a new Medicare payment model to lower drug prices within one year, which could revive Trump's international price benchmarking model that was finalized under Trump in 2020 but halted by President Joe Biden in 2022. Big picture: We think the biopharma industry looks undervalued, as innovation and a promising mergers and acquisitions environment support long-term pricing power

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and help counter potential near-term tariff pressure, long-term rising tax rates as US manufacturing increases, and likely approval delays.

Biopharma Industry: We Anticipate Tariffs to Bring Short-Term Margin Pressure; No Valuation Changes Karen Andersen, CFA,Director,9 Apr 2025

President Trump has announced that "major" pharmaceutical product tariffs are likely to be revealed soon, but at the same time, paused broader tariffs for most trade partners for 90 days to allow time for negotiations. Why it matters: The biopharma industry has largely been exempt from tariffs (except for 20% tariffs on imports to the US from China, implemented in March). The industry continues to brace for a potential pharma-specific announcement, which could have implications for global manufacturing strategies. The rumored 25% tariff could be applied to products manufactured in Europe and imported into the US. While there might be some flexibility to move toward a more domestic manufacturing strategy, avoiding tariffs completely would require new facilities that take several years to build. Both US and Europe-based firms have significant European manufacturing exposure due to tax advantages (US firms), home country manufacturing (Europe firms), and other reasons, including lower production costs and lower exposure to currency fluctuations. The bottom line: We are not changing our biopharma uncertainty ratings or fair value estimates, as we think the direct impact from tariffs on earnings is likely to be limited in scope. Moreover, the indirect impact from a potential recession should also be limited given the noncyclical nature of drug spending. We assume pharmaceutical tariffs are enacted but do not last after 2026 due to political pressure from midterm elections. In this scenario, we think biopharma is unlikely to wholesale rethink its manufacturing footprint, apart from incremental US capacity additions. Using a non-GAAP industry average margin analysis of the short-run tariff impact, a 25% tariff would only amount to a 2-percentage-point operating margin headwind in the worst case, or a 6% headwind to operating profits, using an industry average 32% operating profit margin.

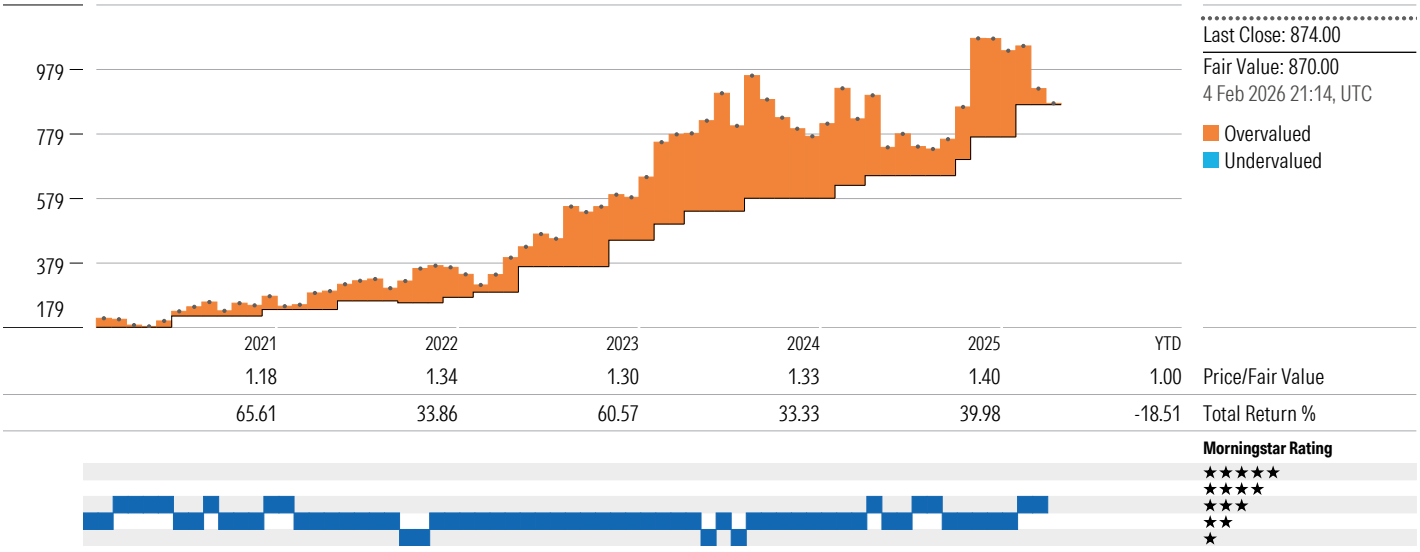
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Competitors Price vs. Fair Value

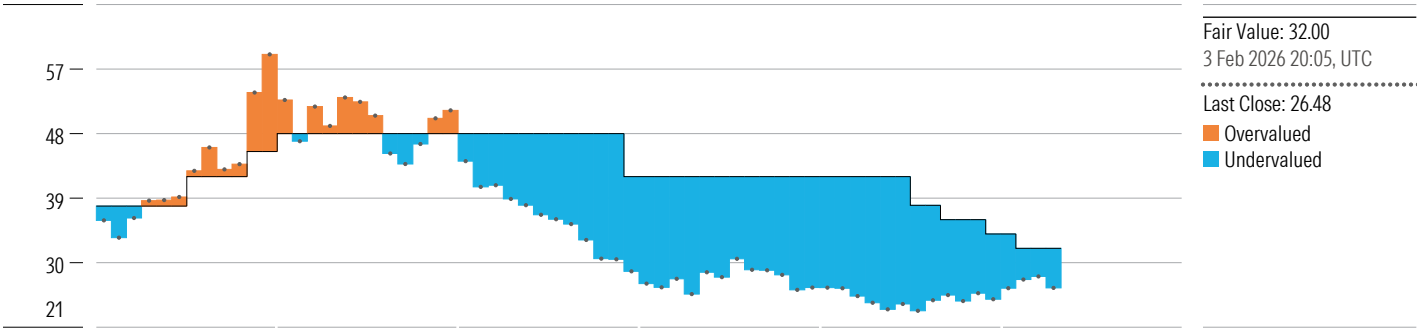
Eli Lilly and Co LLY



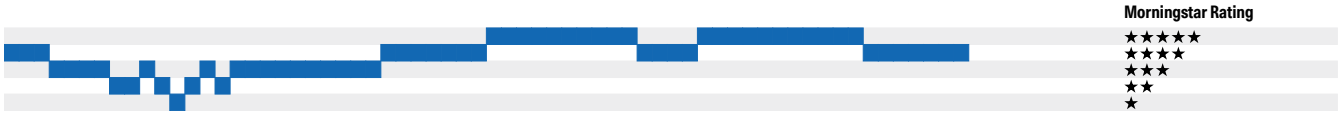
	2021	2022	2023	2024	2025	YTD	
	1.18	1.34	1.30	1.33	1.40	1.00	Price/Fair Value
	65.61	33.86	60.57	33.33	39.98	-18.51	Total Return %

Total Return % as of 28 Apr 2026. Last Close as of 28 Apr 2026. Fair Value as of 4 Feb 2026 21:14, UTC.

Pfizer Inc PFE



	2021	2022	2023	2024	2025	YTD	
	1.30	1.07	0.69	0.63	0.73	0.83	Price/Fair Value
	64.66	-10.52	-40.61	-2.01	0.34	8.07	Total Return %



Total Return % as of 28 Apr 2026. Last Close as of 28 Apr 2026. Fair Value as of 3 Feb 2026 20:05, UTC.

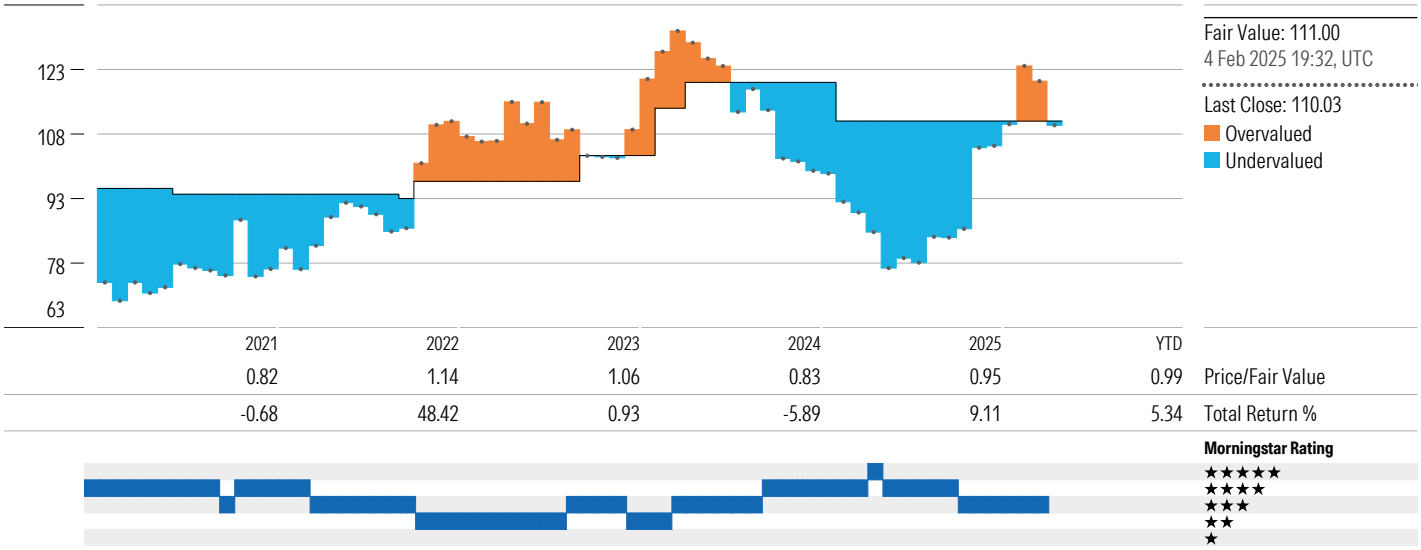
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Competitors Price vs. Fair Value

Merck & Co Inc MRK



	2021	2022	2023	2024	2025	YTD
Price/Fair Value	0.82	1.14	1.06	0.83	0.95	0.99
Total Return %	-0.68	48.42	0.93	-5.89	9.11	5.34

Total Return % as of 28 Apr 2026. Last Close as of 28 Apr 2026. Fair Value as of 4 Feb 2025 19:32, UTC.

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Morningstar Valuation Model Summary

Financials as of 29 Apr 2026	Actual			Forecast				
Fiscal Year, ends 31 Dec	2023	2024	2025	2026	2027	2028	2029	2030
Revenue (USD Mil)	54,318	56,334	61,160	67,240	73,537	78,527	82,021	81,609
Operating Income (USD Mil)	13,356	11,887	19,850	25,201	29,749	32,003	33,875	34,591
EBITDA (USD Mil)	16,632	14,262	17,363	30,910	34,587	36,773	38,055	37,455
Adjusted EBITDA (USD Mil)	16,632	14,262	17,363	30,910	34,587	36,773	38,055	37,455
Net Income (USD Mil)	4,863	4,278	4,226	17,608	20,207	22,023	23,932	24,915
Adjusted Net Income (USD Mil)	19,769	18,000	17,784	25,262	27,312	29,365	30,960	31,039
Free Cash Flow To The Firm (USD Mil)	25,297	3,067	16,037	22,211	25,852	28,505	28,025	26,277
Weighted Average Diluted Shares Outstanding (Mil)	1,773	1,773	1,773	1,773	1,746	1,720	1,694	1,669
Earnings Per Share (Diluted) (USD)	2.74	2.41	2.38	9.93	11.57	12.80	14.12	14.93
Adjusted Earnings Per Share (Diluted) (USD)	11.15	10.15	10.03	14.25	15.64	17.07	18.27	18.60
Dividends Per Share (USD)	5.99	6.29	6.65	6.92	7.32	7.61	7.84	8.08

Margins & Returns as of 29 Apr 2026		Actual			Forecast					
	3 Year Avg	2023	2024	2025	2026	2027	2028	2029	2030	5 Year Avg
Operating Margin %	13.4	24.6	21.1	32.5	37.5	40.5	40.8	41.3	42.4	37.2
EBITDA Margin %	—	30.6	25.3	28.4	46.0	47.0	46.8	46.4	45.9	—
Adjusted EBITDA Margin %	—	30.6	25.3	28.4	46.0	47.0	46.8	46.4	45.9	46.4
Net Margin %	7.8	9.0	7.6	6.9	26.2	27.5	28.0	29.2	30.5	28.3
Adjusted Net Margin %	32.5	36.4	32.0	29.1	37.6	37.1	37.4	37.8	38.0	37.6
Free Cash Flow To The Firm Margin %	26.1	46.6	5.4	26.2	33.0	35.2	36.3	34.2	32.2	34.2

Growth & Ratios as of 29 Apr 2026		Actual			Forecast					
	3 Year CAGR	2023	2024	2025	2026	2027	2028	2029	2030	5 Year CAGR
Revenue Growth %	1.8	-6.4	3.7	8.6	9.9	9.4	6.8	4.5	-0.5	5.9
Operating Income Growth %	1.7	-29.2	-11.0	67.0	27.0	18.1	7.6	5.9	2.1	11.8
EBITDA Growth %	-7.7	-30.7	-14.2	21.7	78.0	11.9	6.3	3.5	-1.6	19.6
Adjusted EBITDA Growth %	-10.2	-30.7	-14.2	21.7	78.0	11.9	6.3	3.5	-1.6	16.6
Earnings Per Share Growth %	-29.0	-58.8	-12.0	-1.2	316.7	16.5	10.7	10.3	5.7	44.3
Adjusted Earnings Per Share Growth %	-29.0	-19.4	-9.0	-1.2	42.1	9.8	9.2	7.0	1.8	44.3

Valuation as of 29 Apr 2026	Actual			Forecast				
	2023	2024	2025	2026	2027	2028	2029	2030
Price/Earning	13.9	17.5	22.8	13.9	12.6	11.6	10.8	10.6
Price/Sales	5.0	5.6	6.6	5.2	4.8	4.5	4.3	4.3
Price/Book	26.5	94.5	-124.2	169.0	77.2	41.5	24.9	17.1
Price/Cash Flow	—	—	—	—	—	—	—	—
EV/EBITDA	19.3	26.5	26.9	13.3	11.9	11.2	10.8	11.0
EV/EBIT	24.0	31.8	23.5	16.3	13.8	12.9	12.2	11.9
Dividend Yield %	3.9	3.5	2.9	3.5	3.7	3.9	4.0	4.1
Dividend Payout %	53.7	62.0	66.3	48.6	46.8	44.6	42.9	43.4
Free Cash Flow Yield %	—	—	—	—	—	—	—	—

Operating Performance / Profitability as of 29 Apr 2026	Actual			Forecast				
Fiscal Year, ends 31 Dec	2023	2024	2025	2026	2027	2028	2029	2030
ROA %	3.6	3.2	3.2	13.1	15.3	16.6	18.0	18.9
ROE %	46.8	127.2	-130.9	834.2	448.6	267.6	177.3	128.6
ROIC %	11.4	12.8	15.8	20.9	24.4	27.0	29.6	29.9

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AbbVie Inc ABBV ★★★ 28 Apr 2026 23:47, UTC

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Financial Leverage (Reporting Currency)	Actual			Forecast				
Fiscal Year, ends 31 Dec	**2023**	**2024**	**2025**	**2026**	**2027**	**2028**	**2029**	**2030**
Debt/Capital %	17.8	17.6	14.3	14.5	13.5	12.5	11.5	10.6
Assets/Equity	13.0	40.2	-41.5	63.6	29.4	16.1	9.9	6.8
Net Debt/EBITDA	2.8	4.3	3.6	1.5	1.2	0.9	0.6	0.4
Total Debt/EBITDA	3.6	4.7	3.9	1.8	1.5	1.4	1.2	1.1
EBITDA/ Net Interest Expense	9.9	6.6	6.6	11.3	14.9	19.1	31.7	74.9

Forecast Revisions as of 29 Apr 2026	2026		2027		2028	
Prior data as of 10 Apr 2026	**Current**	**Prior**	**Current**	**Prior**	**Current**	**Prior**
Fair Value Estimate Change (Trading Currency)	184.00	178.80	—	—	—	—
Revenue (USD Mil)	67,240	66,930	73,537	72,285	78,527	76,830
Operating Income (USD Mil)	25,201	25,185	29,749	29,139	32,003	31,178
EBITDA (USD Mil)	30,910	30,889	34,587	34,010	36,773	36,019
Net Income (USD Mil)	25,262	25,074	27,312	26,737	29,365	28,620
Earnings Per Share (Diluted) (USD)	9.93	9.84	11.57	11.27	12.80	12.42
Adjusted Earnings Per Share (Diluted) (USD)	14.25	14.14	15.64	15.31	17.07	16.64
Dividends Per Share (USD)	6.92	6.92	7.32	7.32	7.61	7.61

Key Valuation Drivers as of 29 Apr 2026

Cost of Equity %	7.5
Pre-Tax Cost of Debt %	6.5
Weighted Average Cost of Capital %	7.2
Long-Run Tax Rate %	—
Stage II EBI Growth Rate %	4.0
Stage II Investment Rate %	20.0
Perpetuity Year	20

Additional estimates and scenarios available for download at https://pitchbook.com/.

Discounted Cash Flow Valuation as of 29 Apr 2026

	USD Mil
Present Value Stage I	180,368
Present Value Stage II	77,397
Present Value Stage III	121,972
Total Firm Value	**379,737**
Cash and Equivalents	5,257
Debt	58,941
Other Adjustments	315
Equity Value	**322,920**
Projected Diluted Shares	1,773
Fair Value per Share (USD)	**184.00**

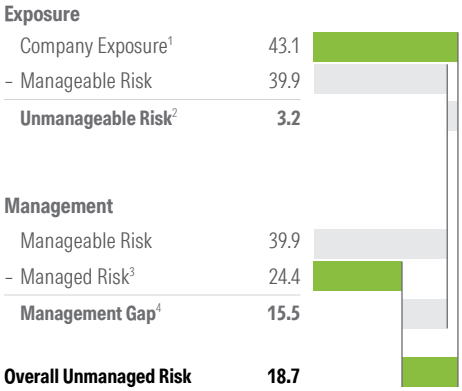
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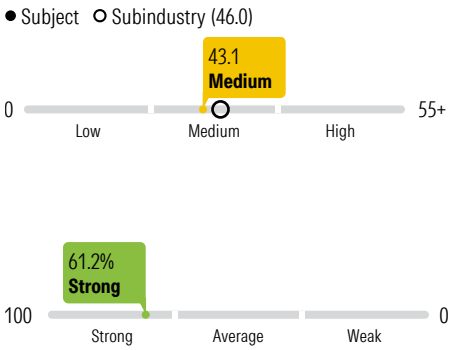
MORNINGSTAR®

AbbVie Inc ABBV ★★★ 28 Apr 2026 23:47, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation	ESG Risk Rating Assessment[1]
197.69 USD 28 Apr 2026	184.00 USD 1 Feb 2025 00:07, UTC	1.07	362.51 USD Bil 29 Apr 2026	Wide	Large Value	High	Standard	 28 Apr 2026 05:00, UTC

ESG Risk Rating Breakdown





- Exposure represents a company's vulnerability to ESG risks driven by their business model
- Exposure is assessed at the Subindustry level and then specified at the company level
- Scoring ranges from 0-55+ with categories of low, medium, and high-risk exposure

- Management measures a company's ability to manage ESG risks through its commitments and actions
- Management assesses a company's efficiency on ESG programs, practices, and policies
- Management score ranges from 0-100% showing how much manageable risk a company is managing

ESG Risk Rating



ESG Risk Ratings measure the degree to which a company's value is impacted by environmental, social, and governance risks, by evaluating the company's ability to manage the ESG risks it faces.

1. A company's Exposure to material ESG issues 2. Unmanageable Risk refers to risks that are inherent to a particular business model that cannot be managed by programs or initiatives 3. Managed Risk = Manageable Risk multiplied by a Management score of 61.2% 4. Management Gap assesses risks that are not managed, but are considered manageable 5. ESG Risk Rating Assessment = Overall Unmanaged Risk = Management Gap plus Unmanageable Risk

ESG Risk Rating Assessment[5]



ESG Risk Rating is of Apr 28, 2026. Highest Controversy Level is as of Apr 08, 2026. Sustainalytics Subindustry: Pharmaceuticals. Sustainalytics provides Morningstar with company ESG ratings and metrics on a monthly basis and as such, the ratings in Morningstar may not necessarily reflect current Sustainalytics' scores for the company. For the most up to date rating and more information, please visit: sustainalytics.com/esg-ratings/.

Peer Analysis 28 Apr 2026

Peers are selected from the company's Sustainalytics-defined Subindustry and are displayed based on the closest market cap values

Company Name	Exposure			Management			ESG Risk Rating		
AbbVie Inc	43.1 | Medium	0	55+	61.2 | Strong	100	0	18.7 | Low	0	40+
Eli Lilly and Co	43.9 | Medium	0	55+	57.3 | Strong	100	0	20.6 | Medium	0	40+
Merck & Co Inc	46.4 | Medium	0	55+	69.1 | Strong	100	0	16.7 | Low	0	40+
Johnson & Johnson	45.1 | Medium	0	55+	63.2 | Strong	100	0	18.8 | Low	0	40+
Pfizer Inc	44.0 | Medium	0	55+	68.9 | Strong	100	0	15.9 | Low	0	40+

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Appendix

Historical Morningstar Rating

AbbVie Inc ABBV 28 Apr 2026 23:47, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
—	—	—	—	—	—	—	—	★★★	★★	★★	★★
Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
★★	★★	★★	★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★
Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
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Dec 2023	Nov 2023	Oct 2023	Sep 2023	Aug 2023	Jul 2023	Jun 2023	May 2023	Apr 2023	Mar 2023	Feb 2023	Jan 2023
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Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
★★	★★	★★	★★★	★★★	★★	★★	★★	★★	★	★★	★★
Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★★	★★★	★★★	★★★	★★★	★★★	★★	★★	★★★	★★★	★★★	★★★

Eli Lilly and Co LLY 28 Apr 2026 23:38, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
—	—	—	—	—	—	—	—	★★★	★★★	★★	★★
Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
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Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
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Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★★	★★	★★	★★★	★★	★★	★★★	★★★	★★★	★★★	★★	★★

Pfizer Inc PFE 28 Apr 2026 23:34, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
—	—	—	—	—	—	—	—	★★★★	★★★★	★★★★	★★★★
Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
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Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
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Dec 2023	Nov 2023	Oct 2023	Sep 2023	Aug 2023	Jul 2023	Jun 2023	May 2023	Apr 2023	Mar 2023	Feb 2023	Jan 2023
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Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★	★★★	★★
Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★	★★	★★★	★★	★★	★★★	★★★	★★★	★★★	★★★★	★★★★	★★★★

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Merck & Co Inc MRK 29 Apr 2026 00:13, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
—	—	—	—	—	—	—	—	★★★	★★★	★★★	★★★
Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
★★★	★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★★	★★★★	★★★★	★★★★	★★★★
Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
★★★★	★★★★	★★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★	★★	★★
Dec 2023	Nov 2023	Oct 2023	Sep 2023	Aug 2023	Jul 2023	Jun 2023	May 2023	Apr 2023	Mar 2023	Feb 2023	Jan 2023
★★★	★★★	★★★	★★★	★★	★★	★★	★★	★★	★★	★★	★★
Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
★★	★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★★	★★★★	★★★★
Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★★★★	★★★★	★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★

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Research Methodology for Valuing Companies

Overview

At the heart of our valuation system is a detailed projection of a company's future cash flows, resulting from our analysts' research. Analysts create custom industry and company assumptions to feed income statement, balance sheet, and capital investment assumptions into our globally standardized, proprietary discounted cash flow, or DCF, modeling templates. We use scenario analysis, indepth competitive advantage analysis, and a variety of other analytical tools to augment this process. Moreover, we think analyzing valuation through discounted cash flows presents a better lens for viewing cyclical companies, high-growth firms, businesses with finite lives (e.g., mines), or companies expected to generate negative earnings over the next few years. That said, we don't dismiss multiples altogether but rather use them as supporting cross-checks for our DCF-based fair value estimates. We also acknowledge that DCF models offer their own challenges (including a potential proliferation of estimated inputs and the possibility that the method may miss shortterm market-price movements), but we believe these negatives are mitigated by deep analysis and our longterm approach.

Morningstar's equity research group ("we," "our") believes that a company's intrinsic worth results from the future cash flows it can generate. The Morningstar Rating for stocks identifies stocks trading at a discount or premium to their intrinsic worth—or fair value estimate, in Morningstar terminology. Five-star stocks sell for the biggest risk adjusted discount to their fair values, whereas 1-star stocks trade at premiums to their intrinsic worth.

Four key components drive the Morningstar rating: (1) our assessment of the firm's economic moat, (2) our estimate of the stock's fair value, (3) our uncertainty around that fair value estimate and (4) the current market price. This process ultimately culminates in our singlepoint star rating.

1. Economic Moat

The concept of an economic moat plays a vital role not only in our qualitative assessment of a firm's long-term investment potential, but also in the actual calculation of our fair value estimates. An economic moat is a structural feature that allows a firm to sustain excess profits over a long period of time. We define economic profits as returns on invested capital (or ROIC) over and above our estimate of a firm's cost of capital, or weighted average cost of capital (or WACC). Without a moat, profits are more susceptible to competition. We have identified five sources of economic moats: intangible assets, switching costs, network effect, cost advantage, and efficient scale.

Companies with a narrow moat are those we believe are more likely than not to achieve normalized excess returns for at least the next 10 years. Wide-moat companies are those in which we have very high confidence that excess returns will remain for 10 years, with excess returns more likely than not to remain for at least 20 years. The longer a firm generates economic profits, the higher its intrinsic value. We believe low-quality, no-moat companies will see their normalized returns gravitate toward the firm's cost of capital more quickly than companies with moats.

When considering a company's moat, we also assess whether there is a substantial threat of value destruction, stemming from risks related to ESG, industry disruption, financial health, or other idiosyncratic issues. In this context, a risk is considered potentially value destructive if its occurrence would eliminate a firm's economic profit on a cumulative or midcycle basis. If we deem the probability of occurrence sufficiently high, we would not characterize the company as possessing an economic moat.

2. Estimated Fair Value

Combining our analysts' financial forecasts with the firm's economic moat helps us assess how long returns on invested capital are likely to exceed the firm's cost of capital. Returns of firms with a wide economic moat rating are assumed to fade to the perpetuity period over a longer period of time than the returns of narrow-moat firms, and both will fade slower than no-moat firms, increasing our estimate of their intrinsic value.

Our model is divided into three distinct stages:

Stage I: Explicit Forecast

In this stage, which can last five to 10 years, analysts make full financial statement forecasts, including items such as revenue, profit margins, tax rates, changes in workingcapital accounts, and capital spending. Based on these projections, we calculate earnings before interest, after taxes (EBI) and the net new investment (NNI) to derive our annual free cash flow forecast.

Stage II: Fade

The second stage of our model is the period it will take the company's return on new invested capital—the return on capital of the next dollar invested ("RONIC")—to decline (or rise) to its cost of capital. During the Stage II period, we use a formula to approximate cash flows in lieu of explicitly modeling the income statement, balance sheet, and cash flow statement as we do in Stage I. The length of the second stage depends on the strength of the company's economic moat. We forecast this period to last anywhere from one year (for companies with no economic moat) to 10–15 years or more (for wide-moat companies). During this period, cash flows are forecast using four assumptions: an average growth rate for EBI over the period, a normalized investment rate, average return on new invested capital (RONIC), and the number of years until perpetuity, when excess returns cease. The investment rate and return on new invested capital decline until a perpetuity value is calculated. In the case of firms that do not earn their cost of capital, we assume marginal ROICs rise to the firm's cost of capital (usually attributable to less reinvestment), and we may truncate the second stage.

Stage III: Perpetuity

Once a company's marginal ROIC hits its cost of capital, we calculate a continuing value, using a standard perpetuity formula. At perpetuity, we assume that any growth or decline or investment in the business neither creates nor destroys value and that any new investment provides a return in line with estimated WACC.

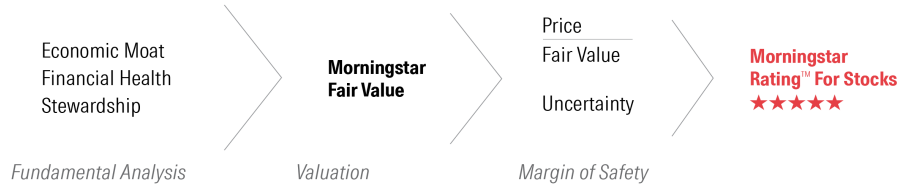
Because a dollar earned today is worth more than a dollar earned tomorrow, we discount our projections of cash flows in stages I, II, and III to arrive at a total present value of expected future cash flows. Because we are modeling free cash flow to the firm—representing cash available to provide a return to all capital providers—we discount future cash flows using the WACC, which is a weighted average of the costs of equity, debt, and preferred stock (and any other funding sources), using expected future proportionate long-term, market-value weights.

3. Uncertainty Around That Fair Value Estimate

Morningstar's Uncertainty Rating is designed to capture the range of potential outcomes for a company's intrinsic value. This rating is used to assign the margin of safety required before investing, which in turn explicitly drives our stock star rating system. The Uncertainty Rating is aimed at identifying the confidence we should have in assigning a fair value estimate for a given stock.

Our Uncertainty Rating is meant to take into account anything that can increase the potential dispersion of future

Morningstar Equity Research Star Rating Methodology



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outcomes for the intrinsic value of a company, and anything that can affect our ability to accurately predict these outcomes. The rating begins with a suggested rating produced by a quantitative process based on the trailing 12-month standard deviation of daily stock returns. An analyst overlay is then applied, with analysts using the suggested rating, historical rating data, and their own knowledge of the company to inform them as they make the final Uncertainty Rating decision. Ultimately, the rating decision rests with the analyst. Analysts take into account many characteristics when making their final decision, including cyclical factors, operational and financial factors such as leverage, company-specific events, ESG risks, and anything else that might increase the potential dispersion of future outcomes and our ability to estimate those outcomes.

Our recommended margin of safety—the discount to fair value demanded before we'd recommend buying or selling the stock—widens as our uncertainty of the estimated value of the equity increases. The more uncertain we are about the potential dispersion of outcomes, the greater the discount we require relative to our estimate of the value of the firm before we would recommend the purchase of the shares. In addition, the Uncertainty Rating provides guidance in portfolio construction based on risk tolerance.

Our Uncertainty Ratings are: Low, Medium, High, Very High, and Extreme.

	Margin of Safety	
Qualitative Analysis Uncertainty Ratings	★★★★★Rating	★Rating
Low	20% Discount	25% Premium
Medium	30% Discount	35% Premium
High	40% Discount	55% Premium
Very High	50% Discount	75% Premium
Extreme	75% Discount	300% Premium

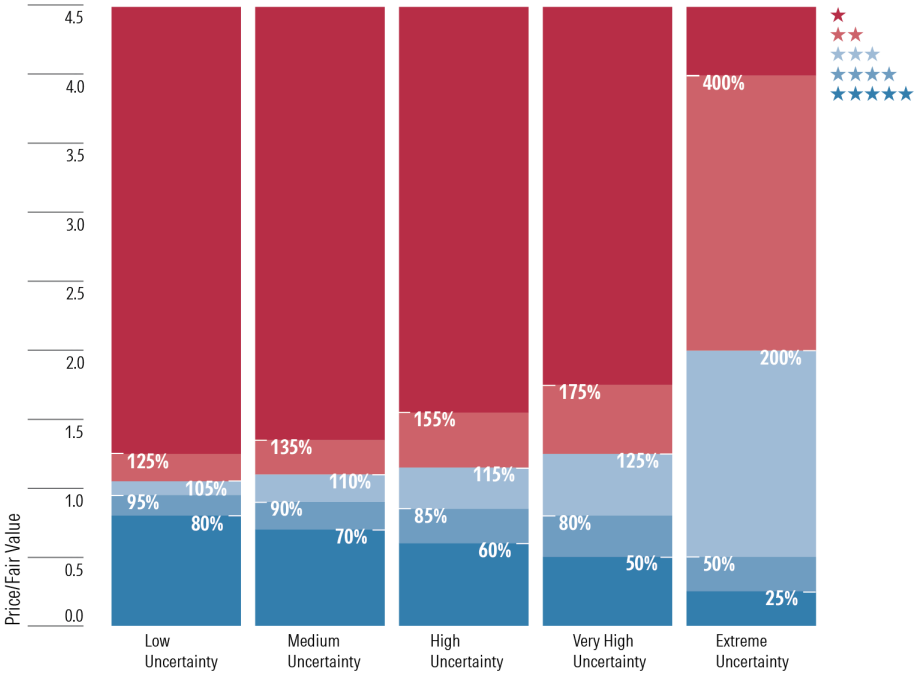
Our uncertainty rating is based on the interquartile range, or the middle 50% of potential outcomes, covering the 25th percentile–75th percentile. This means that when a stock hits 5 stars, we expect there is a 75% chance that the intrinsic value of that stock lies above the current market price. Similarly, when a stock hits 1 star, we expect there is a 75% chance that the intrinsic value of that stock lies below the current market price.

4. Market Price

The market prices used in this analysis and noted in the report come from exchange on which the stock is listed which we believe is a reliable source.

For more details about our methodology, please go to https://shareholders.morningstar.com

Morningstar Equity Research Star Rating Methodology



Morningstar Star Rating for Stocks

Once we determine the fair value estimate of a stock, we compare it with the stock's current market price on a daily basis, and the star rating is automatically re-calculated at the market close on every day the market on which the stock is listed is open. Our analysts keep close tabs on the companies they follow, and, based on thorough and ongoing analysis, raise or lower their fair value estimates as warranted.

Please note, there is no predefined distribution of stars. That is, the percentage of stocks that earn 5 stars can fluctuate daily, so the star ratings, in the aggregate, can serve as a gauge of the broader market's valuation. When there are many 5-star stocks, the stock market as a whole is more undervalued, in our opinion, than when very few companies garner our highest rating.

We expect that if our base-case assumptions are true the market price will converge on our fair value estimate over time generally within three years (although it is impossible to predict the exact time frame in which market prices may adjust).

Our star ratings are guideposts to a broad audience and individuals must consider their own specific investment goals, risk tolerance, tax situation, time horizon, income needs, and complete investment portfolio, among other factors.

The Morningstar Star Ratings for stocks are defined below:

★★★★★ We believe appreciation beyond a fair risk adjusted return is highly likely over a multiyear time frame. Scenario analysis developed by our analysts indicates that the current market price represents an excessively pessimistic outlook, limiting downside risk and maximizing upside potential.

★★★★ We believe appreciation beyond a fair risk-adjusted return is likely.

★★★ Indicates our belief that investors are likely to receive a fair risk-adjusted return (approximately cost of equity).

★★ We believe investors are likely to receive a less than fair risk-adjusted return.

★ Indicates a high probability of undesirable risk-adjusted returns from the current market price over a multiyear time frame, based on our analysis. Scenario analysis by our analysts indicates that the market is pricing in an excessively optimistic outlook, limiting upside potential and leaving the investor exposed to Capital loss.

Other Definitions

Last Price: Price of the stock as of the close of the market of the last trading day before date of the report.

Capital Allocation Rating: Our Capital Allocation (or Stewardship) Rating represents our assessment of the quality of management's capital allocation, with particular emphasis on the firm's balance sheet, investments,

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and shareholder distributions. Analysts consider companies' investment strategy and valuation, balance sheet management, and dividend and share buyback policies. Corporate governance factors are only considered if they are likely to materially impact shareholder value, though either the balance sheet, investment, or shareholder distributions. Analysts assign one of three ratings: "Exemplary", "Standard", or "Poor". Analysts judge Capital Allocation from an equity holder's perspective. Ratings are determined on a forward looking and absolute basis. The Standard rating is most common as most managers will exhibit neither exceptionally strong nor poor capital allocation.

Capital Allocation (or Stewardship) analysis published prior to Dec. 9, 2020, was determined using a different process. Beyond investment strategy, financial leverage, and dividend and share buyback policies, analysts also considered execution, compensation, related party transactions, and accounting practices in the rating.

Capital Allocation Rating: Our Capital Allocation (or Stewardship) Rating represents our assessment of the quality of management's capital allocation, with particular emphasis on the firm's balance sheet, investments, and shareholder distributions. Analysts consider companies' investment strategy and valuation, balance sheet management, and dividend and share buyback policies. Corporate governance factors are only considered if they are likely to materially impact shareholder value, though either the balance sheet, investment, or shareholder distributions. Analysts assign one of three ratings: "Exemplary", "Standard", or "Poor". Analysts judge Capital Allocation from an equity holder's perspective. Ratings are determined on a forward looking and absolute basis. The Standard rating is most common as most managers will exhibit neither exceptionally strong nor poor capital allocation.

Capital Allocation (or Stewardship) analysis published prior to Dec. 9, 2020, was determined using a different process. Beyond investment strategy, financial leverage, and dividend and share buyback policies, analysts also considered execution, compensation, related party transactions, and accounting practices in the rating.

Sustainalytics ESG Risk Rating Assessment: The ESG Risk Rating Assessment is provided by Sustainalytics; a Morningstar company.

Sustainalytics' ESG Risk Ratings measure the degree to which company's economic value at risk is driven by environment, social and governance (ESG) factors.

Sustainalytics analyzes over 1,300 data points to assess a company's exposure to and management of ESG risks. In other words, ESG Risk Ratings measures a company's unmanaged ESG Risks represented as a quantitative score. Unmanaged Risk is measured on an open-ended scale starting at zero (no risk) with lower scores representing less unmanaged risk and, for 95% of cases, the unmanaged ESG Risk score is below 50.

Based on their quantitative scores, companies are grouped into one of five Risk Categories (negligible, low, medium, high, severe). These risk categories are absolute, meaning that a 'high risk' assessment reflects a comparable degree of unmanaged ESG risk across all subindustries covered.

The ESG Risk Rating Assessment is a visual representation of Sustainalytics ESG Risk Categories on a 1 to 5 scale. Companies with Negligible Risk = 5 Globes, Low Risk = 4, Medium Risk = 3 Globes, High Risk = 2 Globes, Severe Risk = 1 Globe. For more information, please visit sustainalytics.com/esg-ratings/

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